Seven Trading Ideas, One Protocol: Six Without an Edge, One Without Enough Evidence

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Abstract

Seven popular intraday trading ideas, each rejected earlier in separate tests, were run through one protocol on CME gold futures from June 2010 to September 2026: the same data, costs, stop resolution on one-minute bars, a placebo with the same entry time on random days, a check of the mirror-image version of each pattern, and a year-by-year count. Six stay rejected. Fair value gaps, liquidity sweeps, fading streaks of candles, buying small dips for a quick profit, switching between trend and reversion by the Hurst exponent, and the Hikkake pattern all lose money after costs or do not beat the placebo; buying small dips wins 87% of the time and still loses before costs. The seventh is rejected for a different reason. A straddle around US data releases at 08:30 New York time, first discarded because of a clock error, earns +0.20 R per trade after costs at the correct time ($t = 5.1$, 14 of 17 years), nothing on weekdays without a release, and +0.51 R per trade on the broker's own ticks since June 2025. But it earned nothing for five consecutive years, 2016–2020, for reasons the data do not explain, and half of its profit comes from payroll days alone. An effect that can disappear for five years without explanation cannot yet be told apart from one that belongs to a regime, so it is rejected for lack of evidence and kept under observation rather than accepted.

AI disclosure. The author used Claude (Anthropic), an AI assistant, to write the data-analysis code, to draft and edit the text, to assist with wording and structure, and as a consultative tool for discussing methodological and technical questions. The research questions and the decisions on what to test and what to accept are the author's. The author reviewed, verified, and edited all AI-assisted content and takes full responsibility for the content of the paper, including its analysis, results, and conclusions.

1 Why one protocol

Ideas for intraday strategies are usually tested one at a time, each on whatever data and with whatever checks seemed reasonable then. In this research programme that produced a long list of rejections, but the list could not be trusted as a whole: some tests used a data feed later found to be one-fifth synthetic, the tests differed in costs and in how stops were resolved, and one rejection, as it turned out, rested on a clock error. This note reruns seven of the best-known rejected ideas through a single protocol on clean exchange data, so that the verdicts are comparable and each can fail or survive for the same reasons.

The ideas were chosen because traders ask about them, not because they looked promising: four chart patterns popular on social media (fair value gaps, liquidity sweeps, Hikkake, streaks of candles), one high-win-rate scalping idea, one idea from chaos theory and one event trade.

2 Data and protocol

Exhibit 1. The protocol applied to every idea

Element	Rule
Data	CME gold futures (GC), continuous front contract, 1-minute bars, Databento, June 2010 – September 2026, New York time; the trading day starts at 18:00
Contract rolls	days when the series switches contract, and one day either side, are excluded (303 of about 4,100 days)
Entry	at the close of the signal bar, or at the order's level for limit and stop orders
Exits	stop and target checked on 1-minute bars; when both fall in the same bar, the stop counts; a gap through the stop exits at the bar's open
Costs	0.6 bp per trade, the current cost of a gold CFD (about $0.25 per ounce at $4,000)
Unit	R, the distance from entry to stop; one position at a time per idea
Mirror image	bullish and bearish versions of each pattern reported separately; an effect present in one direction only is gold's upward drift, not the pattern
Placebo	the same direction, stop and target in basis points and the same maximum holding time, entered at the same minute of the day on five randomly chosen other days
Stability	number of calendar years, of 17, with a positive average
Threshold	a t-statistic of about 3, given the number of ideas tested (Harvey et al., 2016)

Each idea is coded as one reasonable version of what its proponents describe, with parameters set before the results were seen (Exhibit 2). The point is not to find the best version of each idea, which would be an optimisation on the same 16 years, but to see whether the basic idea carries anything at all.

Exhibit 2. The seven ideas as tested

Idea	Signal and entry	Stop, target, holding
Fair value gap	15-minute bars: a gap between bar 1's high and bar 3's low of at least 0.3 average ranges; buy limit at the gap's edge when price returns within 4 hours (mirror for gaps down)	stop beyond the full gap; target 2R; 4 hours
Liquidity sweep	price trades beyond the previous day's high or low between 03:00 and 16:00, then closes back inside within 15 minutes; fade the move	stop beyond the sweep's extreme; target 2R; 4 hours
Streak fade	five 5-minute closes in a row in one direction, 03:00–16:00; trade against the streak	stop and target one average 5-minute range; 2 hours
Small bounce	1-minute close at least 10 bp below the highest close of the last 10 minutes; buy (mirror for rises), 03:00–16:00	target 2 bp, stop 15 bp; 1 hour
Hurst switch	hourly DFA Hurst exponent over the last 240 hours: above 0.55, follow the last hour's move; below 0.45, fade it	stop and target one average hourly range; 1 hour
Hikkake	hourly inside bar, a false break of one side, then within three bars a close beyond the other side; enter in that direction	stop beyond the false break; target 2R; 8 hours
News straddle	days with a high-importance US release at 08:30: range of 08:15–08:29; buy stop above, sell stop below, first to trigger by 09:00	stop at the other side of the range; target 2R; exit by 10:30

Notes:
– All times New York. Average range: 14-bar average true range of the bars named.
– Release days: high-importance US events at 08:30 in the MetaTrader 5 economic calendar to June 2025, and the main US releases (payrolls, inflation, retail sales, GDP, producer prices, PCE) afterwards.

3 Results

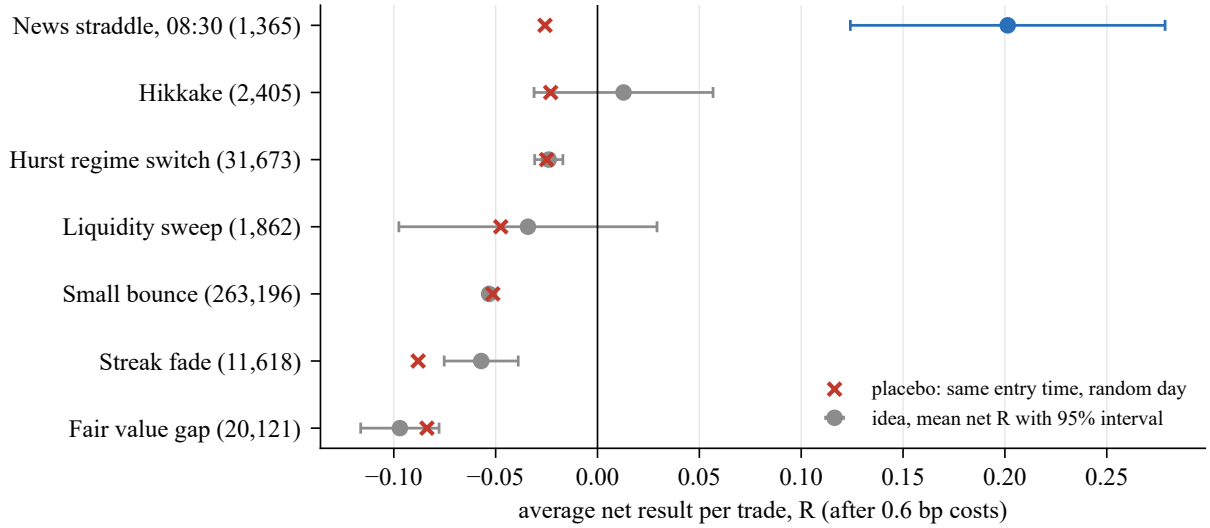
Exhibit 3. Seven ideas under one protocol, GC futures, June 2010 – September 2026

		Stop,	R per trade				Years	Placebo	
Idea	Trades	bp	gross	net	t	Win	+	R	t, diff.
Fair value gap	20,121	7.5	−0.007	−0.097	−9.9	35%	1/17	−0.084	−1.2
Liquidity sweep	1,862	9.5	+0.044	−0.034	−1.1	36%	5/17	−0.047	+0.4
Streak fade	11,618	8.4	+0.021	−0.057	−6.2	51%	2/17	−0.088	+3.1
Small bounce	263,196	15.0	−0.013	−0.053	−71.4	87%	0/17	−0.051	−2.3
Hurst switch	31,673	24.9	+0.002	−0.024	−6.8	49%	1/17	−0.025	+0.3
Hikkake	2,405	37.4	+0.031	+0.013	+0.6	43%	11/17	−0.023	+1.5
News straddle	1,365	21.3	+0.231	+0.201	+5.1	44%	14/17	−0.026	+5.5

Notes:
– Net: after 0.6 bp per trade. t: t-statistic of the net mean. Win: share of trades with a positive net result. Years +: calendar years with a positive net average.
– Placebo R: average net result of the same trades entered at the same time on random days. "t, diff.": t-statistic of the difference between each trade and its placebo.

Source: CME GC futures, Databento 1-minute bars; author's calculations.

Exhibit 4. Average net result per trade with 95% confidence interval, and the placebo for the same trades



Notes:
– Number of trades in brackets. Blue: interval entirely above zero.
Source: CME GC futures, Databento 1-minute bars; author's calculations.

The six rejections fail for different reasons, and the reasons are the useful part:

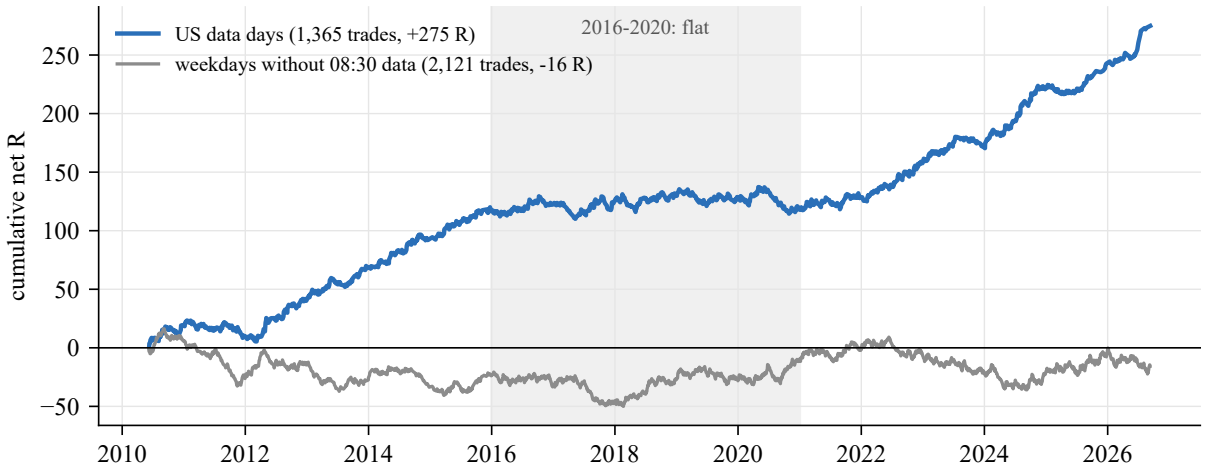
- **Fair value gaps** are a coin toss before costs (−0.007 R) and indistinguishable from the placebo. Gaps on gold are small, a median stop of 7.5 bp, so costs take 0.09 R per trade; bullish and bearish gaps lose alike, and only one year in 17 was positive.
- **Liquidity sweeps** do not reverse. A move beyond the previous day's high or low is more often a breakout than a trap; the fade earns a little before costs and loses after them, in both directions.
- **Streak fades** are the one case where the pattern carries real information: they beat the placebo ($t = 3.1$ for the difference) and win 51% of the time with symmetric stops. But the edge is about 0.02 R, a fifth of a basis point, against costs of 0.6 bp. A real effect can still be too small to trade.
- **Small bounces** win 87% of the time and lose money in every year. With a 2 bp target and a 15 bp stop, a win rate of 88% is needed just to break even before costs, and the bounce happens no more often than chance allows. A high win rate repackages risk into rare large losses; it is not an edge.
- **The Hurst switch** does nothing in either mode. Gold's hourly Hurst exponent sits near 0.5, and whether it is above or below does not predict whether the next hour trends or reverses.
- **Hikkake** is slightly positive (+0.013 R, $t = 0.6$) and slightly better than its placebo, but far from any threshold: the bearish version earns nothing and the bullish one about as much as gold's upward drift would give.

4 The idea rejected for lack of evidence

The news straddle was first rejected in mid-2026 on the evidence of a test that placed its window at a fixed 13:30 UTC. US data are released at 08:30 New York time, which is 13:30 UTC only in winter; from the second Sunday of March to the first Sunday of November it is 12:30 UTC. For eight months of every year that test measured the hour after the release, not the release itself. That rejection was therefore invalid. Run at the actual release time, the idea gives the strongest result in the set; this section explains why it is still not accepted.

On the 1,365 release days from June 2010 to September 2026 the straddle earned +0.20 R per trade after costs, $t = 5.1$, with 14 of 17 years positive. Both directions are positive: +0.28 R when the first break is upward and +0.13 R when it is downward, so it is not gold's drift. The same rule on the 2,121 weekdays without an 08:30 release earned −0.01 R (Exhibit 5): the effect belongs to the release, not to the time of day.

Exhibit 5. Cumulative net result of the news straddle on GC futures, release days against other weekdays



Notes:
– Same rule, same times, after 0.6 bp per trade; one trade per day at most.
– Shaded: 2016–2020, when the straddle earned nothing.
Source: CME GC futures, Databento 1-minute bars; economic calendars as in Exhibit 2.

Exhibit 6. Robustness of the news straddle

Variant	Trades	Net R per trade	t	Years +
Base: 15-minute range, target 2R, cost 0.6 bp	1,365	+0.201	+5.1	14/17
Placebo: same rule on weekdays without a release	2,121	−0.007	−0.3	8/17
Range of 10 minutes	1,369	+0.277	+6.6	15/17
Range of 30 minutes	1,336	+0.118	+3.3	13/17
Target 1R	1,365	+0.227	+7.1	16/17
Target 3R	1,365	+0.207	+4.7	14/17
Cost 1.5 bp	1,365	+0.156	+4.0	12/17
Cost 2.5 bp	1,365	+0.106	+2.7	11/17
2010–2015	480	+0.246	+3.9	–
2016–2020	459	0.000	0.0	–
2021–2026	426	+0.369	+4.7	–
Payroll days (first Friday)	134	+1.02	–	–
Other release days	1,231	+0.11	–	–

Notes:
– GC futures, June 2010 – September 2026; each row changes one element of the base rule.
Source: author's calculations.

The result holds across range lengths, targets and costs up to four times the base (Exhibit 6). Two features of it, however, weigh against accepting it:

- **Five silent years.** From 2016 to 2020 the straddle earned exactly nothing over 459 releases. Those were quiet years for gold, but the data do not show that quiet markets are the cause, and nothing in the rule says when the effect will be present. A trader starting in 2016 would have waited five years for a result.
- **Concentration.** The 134 payroll days earn +1.02 R per trade against +0.11 R on the other 1,231 release days; payrolls, one day in ten, produce half of the total profit. The rest of the calendar adds little after costs.

The main doubt about any straddle is execution: a stop order triggered by a release is filled wherever the market is, not at its level. Two checks address it. On one-second futures bars for the 249 release days of 2023–2026, filling at the first second that crosses the level moved the gross result from +0.50 to +0.41 R per trade. On the broker's own ticks, with actual bids and asks, the straddle was run on the 73 release days from June 2025 to October 2026: fills were on average \$0.93 past the level (median \$0.18, 90th percentile \$1.99), the spread at the moment of the fill had a 90th percentile of \$1.17, and the result after commission was +0.51 R per trade, $t = 2.95$, profit factor 2.07, with a deepest drawdown of 4.4 R. On the same days the futures rule earned about +1.0 R, so execution costs roughly half the effect, and what remains is still positive. An Expert Advisor implementing the rule in MetaTrader 5 reproduced this in the broker's Strategy Tester trade by trade: 71 of 71 days matched, with the same direction on 96% of them.

The verdict is therefore different in kind from the other six. Those ideas show no edge; this one shows an edge whose persistence cannot yet be judged. Executable, statistically strong and economically meaningful in the recent regime, it is still rejected as a strategy for lack of evidence and kept under observation: it is to run on a demo account, and it will be reconsidered when it has traded through a period unlike the last two years, or when the silence of 2016–2020 has an explanation.

5 Limitations

- **One version per idea.** Each idea was tested in one reasonable form. A different definition of a fair value gap or a sweep could do better; but a basic idea that shows nothing in its plain form is unlikely to be rescued by tuning that does not overfit.
- **Short broker sample.** The broker sample covers 73 days in one volatile regime. The release calendar changes source in mid-2025, and the high-importance list before then includes more event types than the list after. Live trading would also face requotes and wider spreads than any historical tick file records.
- **Multiple testing.** Seven ideas plus the robustness variants of one are many tests. The news straddle's t of 5.1, its placebo and its symmetry make chance an unlikely explanation; the streak result, real but below costs, is the kind of finding that would not survive a stricter threshold anyway.

6 Conclusion

Run through the same protocol on clean data, six well-known ideas fail, and they fail for instructive reasons: patterns that are coin tosses before costs, real effects too small for any retail spread, and high win rates that hide losses. The seventh teaches two things. A rejection is only as good as the test behind it: a straddle around US data releases, first discarded because a fixed UTC time drifted an hour away from the release for most of the year, earns a positive result on 16 years of futures and on the broker's own ticks. And a strong t-statistic is not the same as enough evidence: the same straddle earned nothing for five years in a row, and until that silence is understood it stays rejected and under observation. It is the only idea of the seven tied to a scheduled event, consistent with the other notes in this series: on gold, the effects worth watching are attached to the market's timetable, not to chart shapes.

References

Harvey, C. R., Y. Liu, and H. Zhu (2016). ... and the cross-section of expected returns. *Review of Financial Studies* 29(1), 5–68.